

POWERING UP EUROPE

Who pays for Electrification and Artificial Intelligence?

We explore the cost of electrifying Europe and of rolling out datacenters to support artificial intelligence. Our analysis suggests that electricity bill increases over the coming ten years will be much lower than anticipated, averaging 2-4% pa. This should ease concerns over affordability-driven regulatory intervention and strongly corroborates our thesis of an “earnings super cycle” in Utilities and ongoing multiple expansion.

Even with electrification and AI, power bill growth would be just 2-4% pa. Over the past ten years, power bills for a typical European household have increased by +5% pa. Over the coming ten years, we estimate that electricity bills will increase at a slower pace, despite accelerating electrification and rising AI adoption. Our base case (EU targets largely missed, slow DC roll-out) implies +2% annual growth in bills, while our hyper-adoption scenario for electrification and datacenters increases this to +4% pa. These figures are significantly below prevailing expectations and reflect two common misconceptions about capex and power demand.

North vs South divide. We estimate that annual electricity bill increases could reach the mid-to-high single digits in the UK and Germany, driven primarily by rising grid fees, although Germany may be better positioned to mitigate the impact through fiscal support. In Italy and Spain, we forecast largely unchanged power bills until 2035, supported by more modest grid-fee growth and normalizing power prices.

About 35-40% of electrification capex is non-inflationary or deflationary. We estimate c.35-40% of investments in the power system over the coming ten years (€2.2-3.5 trn on our two scenarios) will be non-inflationary (eg power grids' maintenance) or deflationary (eg onshore renewable additions, as seen in Spain).

Power demand growth should reduce unit fixed costs. Rising power consumption from new sources – EVs, heat pumps, industrial electric boilers, aircon, datacenters – should spread fixed costs (eg grid fees) over a larger base, thereby reducing unit costs. In our base case, we forecast power demand growth of c.1.5-2.5% pa until 2030, accelerating to c.3-3.5% thereafter. Our hyper-adoption scenario (EU goals being met, higher AI Agents penetration) implies 4.5-5% growth from 2030.

Household energy spending could fall by -30%. We estimate electrifying a typical household could lead to c.30% savings in fuel costs – equivalent to an annual reduction in energy costs of €1,200 per family. Given these benefits, policymakers may seek to encourage switching to help alleviate the burden of upfront costs.

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Executive Summary

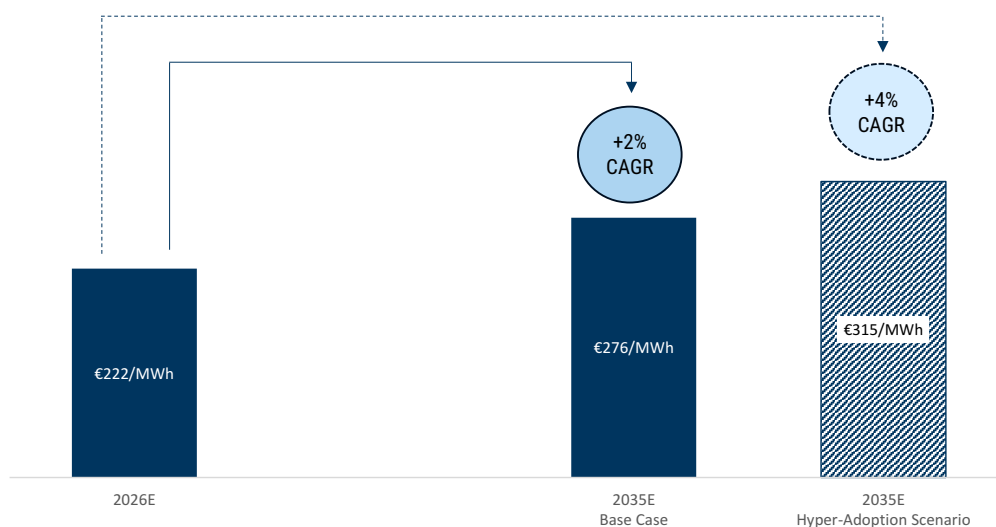
Many investors worry that the scale of infrastructure investment required for electrification (€2.2–3.5 trn over the next decade on our estimates) could create affordability challenges, ultimately derailing our organic growth/earnings super-cycle re-rating thesis for the sector. Our analysis, based on both a base-case and a hyper-adoption scenario for electrification and datacentres, suggests these concerns are overstated. On these two scenarios, we estimate **electricity bill increases over the coming ten years** will average **between +2% and +4% pa**, respectively. These figures are significantly below prevailing expectations, and also lower than the +5% annual increase in electricity bills, experienced by European consumers over the past ten years. As a result, we believe the electrification process is likely to prove much more manageable from both a social and economic perspective than many investors anticipate. Two factors underpin this seemingly counter-intuitive conclusion: **(1) not all capex is inflationary**: c.35–40% of the electrification investments that we project are non-inflationary (eg maintenance of power grids) or deflationary (eg onshore renewable additions), and **(2) power consumption growth from new sources** would lower unit fixed costs, such as grid fees. In our view, these findings strongly support our thesis of an “earnings super cycle” in Utilities and ongoing multiple expansion.

Even with electrification and AI, power bill growth would be well below prevailing perceptions

Over the past ten years, power bills for a typical European household have increased by +5% pa. Over the coming ten years, we estimate that electricity bills will increase at a slower pace, despite accelerating electrification and rising AI adoption. Our base case (EU targets largely missed, slow DC roll-out) implies +2% annual growth in bills, while our hyper-adoption scenario for electrification (EU targets met) and datacenters (higher penetration rate of AI Agents) increases this to +4% pa. These figures are significantly below prevailing expectations and reflect two common misconceptions about capex and power demand.

Exhibit 1: We expect European electricity bills to grow at a +2% CAGR to 2035 (base case), or at +4% in a hyper-adoption scenario

EU-27 + UK electricity bills evolution under different scenarios, 2026E-35E (€/MWh, average retail and industrial)



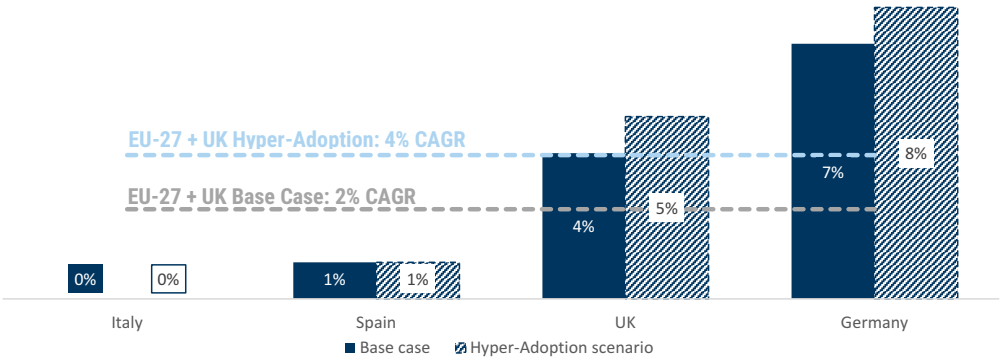
Source: Goldman Sachs Global Investment Research

North vs South divide: meaningful regional differences

Our estimates suggest that annual electricity bill increases in the UK and Germany could reach mid-to-high single digit, primarily driven by greater investments in power grids vs the rest of Europe. The situation might potentially be more manageable in Germany given the likely ability to fiscally support consumers. In Italy and Spain, we forecast largely unchanged power bills until 2035 owing to a more muted evolution in grid fees and the likely normalization in power prices.

Exhibit 2: Germany and the UK may face the highest growth in electricity bills owing to rising grid fees

Unit electricity bills 2026E-35E CAGR in GSe base case, breakdown by country (% , average retail and industrial)

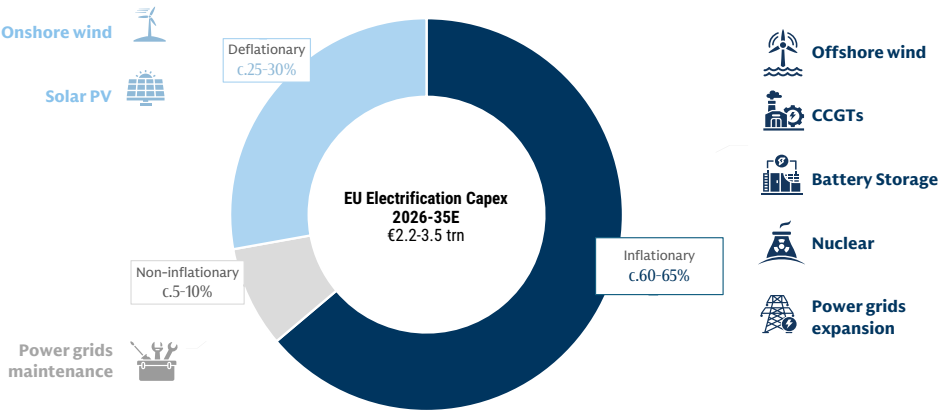


Source: Goldman Sachs Global Investment Research

About 35-40% of electrification capex is non-inflationary or deflationary

We estimate c.35-40% of the electrification capex that we project over the coming ten years (€2.2-3.5 trn on our two scenarios) will be non-inflationary (eg power grids’ maintenance) or deflationary (eg onshore renewable additions, as seen in Spain).

Exhibit 3: We expect 35-40% of electrification capex to be non-inflationary or deflationary
EU power sector 10-year cumulative capex, breakdown by impact on inflation (€ trn)



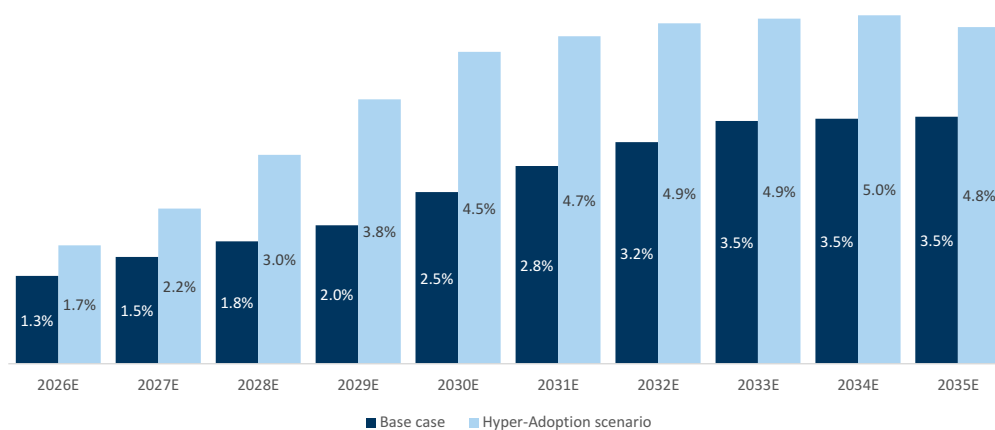
Source: Goldman Sachs Global Investment Research

Power demand growth from new sources should lower unit fixed costs

Rising power consumption from new sources – EVs, heat pumps, industrial electric boilers, aircon, datacenters – should spread fixed costs (eg grid fees) across a wider base, thereby reducing unit costs. In our base case, we forecast power demand growth of c.1.5-2.5% pa until 2030, accelerating to c.3-3.5% thereafter. Our hyper-adoption scenario (EU goals being met, higher AI Agents penetration rate) implies 4.5-5% annual growth from 2030.

Exhibit 4: We see power demand growth accelerating from 1.5-2% pa to potentially 4-5% pa, depending on the pace of electrification and datacenter rollout

EU power demand evolution across different GS scenarios, 2026E-35E (percentage)



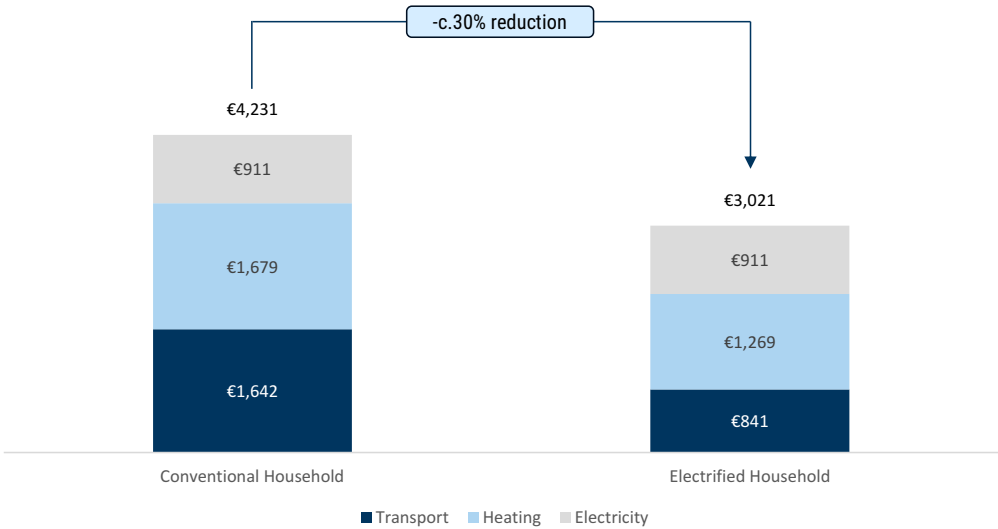
Source: Goldman Sachs Global Investment Research

Households' energy spending could fall by -30%: €1,200 savings pa per family

We estimate electrifying a typical household could lead to c.30% annual savings in fuel – equivalent to an annual reduction in energy costs of €1,200 per family. Essentially, running an EV or electric heating would lead to meaningful monthly savings for European households. Given these benefits, policymakers may seek to encourage switching to help alleviate the burden of upfront costs.

Exhibit 5: Despite higher electricity volumes, electrification could reduce household bills by c.30%

Household annual energy bill breakdown by source, 2026-35E (€ per year)



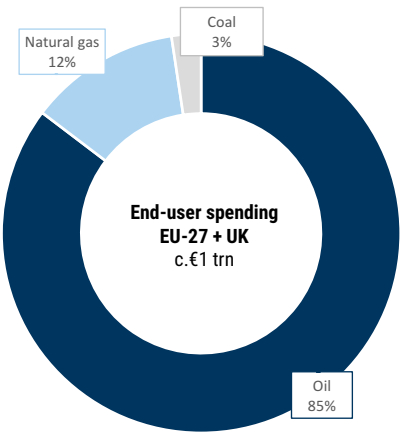
Source: Goldman Sachs Global Investment Research

Europe spends c.€1 trn pa on fossil fuel

Each year, Europe spends around €1 trn pa on oil and derivative products, natural gas and coal. The rising share of electricity in the primary energy mix would imply meaningful savings in fossil fuel spending, which we estimate at €100-150 bn per annum as of 2030-35.

Exhibit 6: European end-users spend €1 trn in fossil fuels per year, mostly in oil

EU-27 + UK fossil fuel end-user spending in 2024, breakdown by commodity (percentage)



Source: Goldman Sachs Global Investment Research

Electrification and AI to drive a generational earnings super-cycle

A growing electricity infrastructure deficit is likely to support higher returns across Renewables and FlexGen, while driving increased investment requirements throughout the electricity value chain – including power grids. Over the coming ten years, we estimate electrification will require €2.2-3.5 trn of investments, a meaningful acceleration vs the past ten years. For the main electrification compounders, this should support high-single-digit to low-double-digit average earnings growth into the 2030s, on our estimates (see [here](#)). We see this supporting an “earnings super-cycle” for the industry extending well into the 2030s. As the investment cycle unfolds, earnings expectations are likely to move materially higher into 2030-31, thus supporting further multiple expansion. This may also weaken the sector’s correlation with cost of capital and commodity prices.

Exhibit 7: European Utilities’ re-rating is underpinned by higher (and better-quality) structural earnings growth

SX6P 1-year forward PE evolution, 2019-26 (x)



* Updated as of 13 July

Source: Bloomberg

Favor transformative electrification stories, renewables and energy security infrastructure providers

We favor three clusters of companies: (1) *Transformative electrification stories* include companies where electrification capex is set to accelerate meaningfully (**Naturgy, Enel, Engie** and **PPC**), significantly transforming these portfolios on a 3-5 year basis; (2) *Renewable developers*, which should benefit from rising returns and organic growth opportunities (**RWE, EDPR, Solaria, Orsted**). *RES manufacturers* that should benefit from rising orders and margins (eg **Vestas** and **Nordex**); and (3) *Energy security infrastructure providers*, such as **Siemens Energy, EON** and **Snam**.

Electrification: 2-4% growth in bills pa, much lower than anticipated

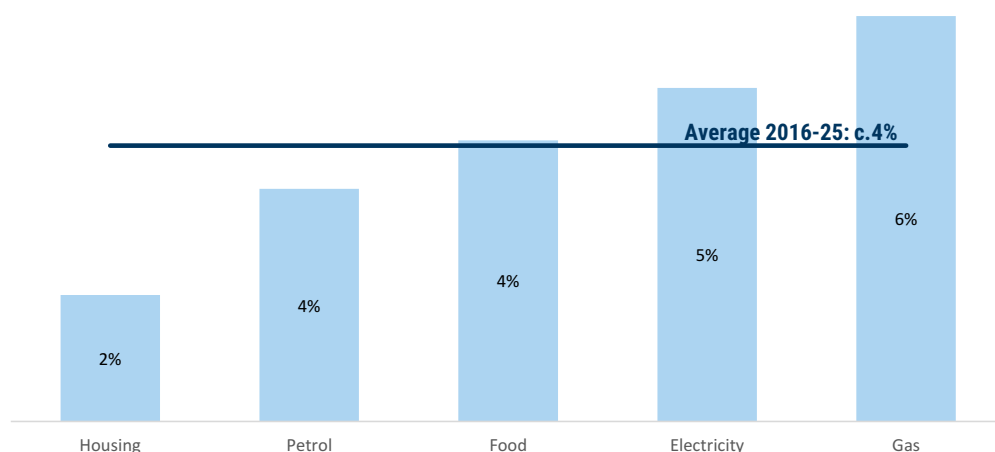
Over the past ten years, the main cost items for a typical European household — housing, food and energy — have increased by +4% pa on average. Electricity bills have risen at an annual rate of +5%. Over the coming ten years, we estimate that electricity bills will increase at a slower rate of between 2% pa and 4% pa based on two scenarios: (1) our **base case**, which assumes a slower pace of electrification (c.40-50% below EU electrification goals) alongside a gradual datacenters roll out (lagging the US by more than five years), and (2) our **hyper-adoption** scenario, where we simulate faster electrification (in line with EU goals on EVs and HPs) and stronger adoption rates for AI Agents, requiring a more substantial expansion of datacenter infrastructure. This projected evolution in electricity bills is much lower than commonly perceived, and hence we believe the electrification process is likely to prove much more manageable from both a social and economic perspective than many investors anticipate. Two factors underpin this conclusion: the share of non-inflationary (eg power grids maintenance) and deflationary capex (onshore wind and solar) is higher than prevailing expectations, and power demand growth from new customers should lower unit fixed costs (eg grid fees).

Households' main cost items have been growing +4% over the past ten years

According to Eurostat, household cost inflation averaged +c.4% CAGR across the main spending categories over the past ten years (2016-25). Electricity and gas bills saw the steepest increase, at 5% and 6% CAGR, respectively, while housing costs increased more moderately at c.2% CAGR.

Exhibit 8: European household cost inflation averaged c.4% CAGR over the past ten years (+5% for power bills)

EU-27 HCPI average annual increase by category, 2016-25 (percentage)



Source: Eurostat

Electricity bills to grow 2-4% pa to 2035

Our base case power demand forecast implies slow progress on electrification and only a gradual roll-out in datacenters. More specifically, by 2030, electrification would remain c.40-50% below EU targets, and our 2031 datacentre forecast is c.15% below the EUDCA's (already conservative) expectations. Under this scenario, power demand would grow by 1.5-2.5% pa to 2030, rising to 3-3.5% thereafter until 2035 as the pace of electrification and, particularly, datacenters development picks up. We estimate that meeting this demand would require c.€2.2 trn of electrification capex over the coming ten years. Our analysis suggests that this would lead to a +2% annual increase in electricity bills over 2026-35E, for Europe. This is less than half of the annual increase experienced by households over the past ten years.

Our hyper-adoption scenario assumes a stronger pace of electrification and a faster datacenters roll-out. Specifically, we assume adoption rates broadly in line with the EU's 2030 targets for mobility and heating: c.30 mn EVs vs around 10 mn in 2026, and c.60 mn HPs vs around 30 mn in 2026. This would require an acceleration in investments across power grids and, in particular, power generation (renewables, gas plants, batteries). Under this scenario, power demand growth would reach 4.5-5% pa over 2030-35.

Exhibit 9: Our hyper-adoption scenario assumes faster electrification and datacenter build-out

Infographic

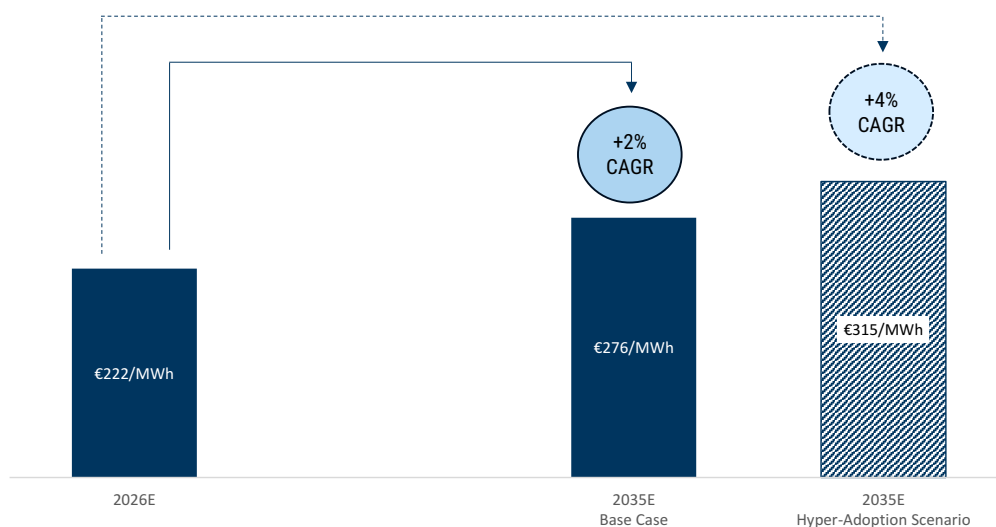
	Base Case (+2%)	Hyper-adoption (+4%)
Datacenters	c.60 GW capacity by 2035 20-30% share of Agentic AI queries by 2035	c.80 GW capacity by 2035 35% share of Agentic AI queries by 2035
Electric Vehicles	35% of new EV sales by 2030	55% of new EV sales by 2030 (EU target)
Heat Pumps	Half of the 2030 EU target (30 mn)	100% of the 2030 EU target (60 mn)

Source: Goldman Sachs Global Investment Research

Under our hyper-adoption scenario, electricity bills would grow by +4% CAGR over the coming ten years, we estimate. Once again, this would be less than the increase faced by households over the past ten years.

Exhibit 10: We expect European electricity bills to grow at a +2% CAGR to 2035, or at +4% in a hyper-adoption scenario

EU-27 + UK electricity bills evolution under different scenarios, 2026E-35E (€/MWh, average retail and industrial)



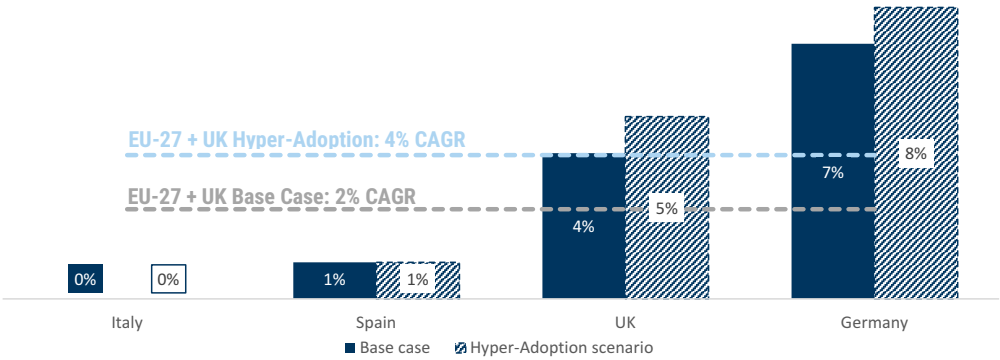
Source: Goldman Sachs Global Investment Research

Meaningful regional deviations: North vs South divide

At a regional level, outcomes are likely to be relatively heterogeneous. Across both our base-case and hyper-adoption scenarios, we expect electricity bills to rise more rapidly in the UK and Germany. Under our base case, annual bill increases reach +4% and +7% respectively, rising to +5% and +8% under our hyper-adoption scenario. This reflects higher investment requirements in power grids (15-25% annual increase in RAB). Germany may be better positioned to mitigate the impact on consumers given the potential scope for fiscal support measures.

By contrast, we expect the evolution of power bills in Italy and Spain to be more muted. Under both scenarios, we forecast broadly unchanged electricity tariffs through 2035; this reflects the much lower increase in grid fees and, especially for Italy, the projected normalization in power prices which are currently nearly twice the levels seen in Spain.

Exhibit 11: Germany and the UK may face the highest growth in electricity bills owing to rising grid fees
Unitary electricity bills 2026E-35E CAGR in GSe base case, breakdown by country (% , average retail and industrial)



Source: Goldman Sachs Global Investment Research

Electrification capex: c.35-40% is non-inflationary or deflationary

We estimate c.35-40% of the electrification capex projected over the coming ten years (€2.2-3.5 trn on our two scenarios) will be non-inflationary (eg maintenance investments in power grids) or deflationary (onshore wind and solar additions will lower energy prices). This is much higher than many perceive and it is one of the reasons why we project a more muted evolution in power bills than anticipated by investors.

Expected electrification capex at €2.2-3.5 trn

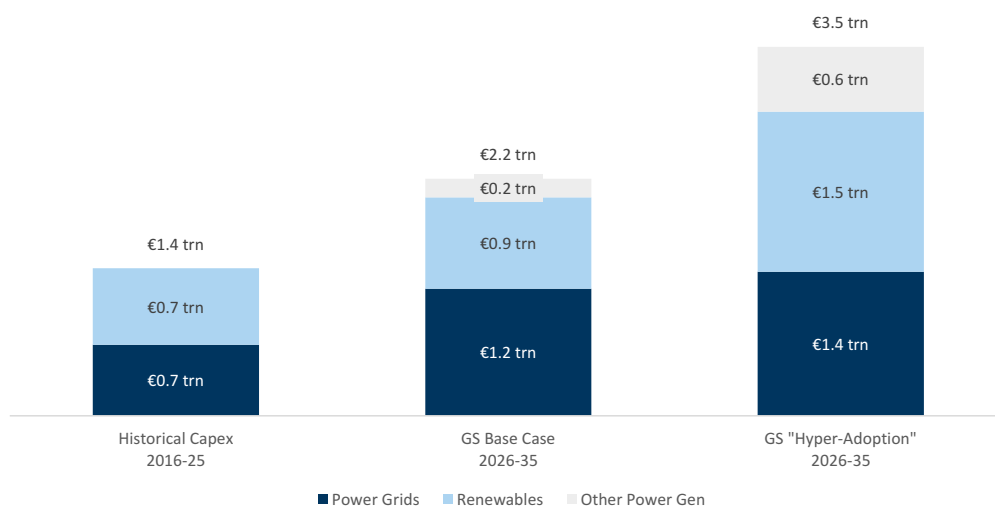
As discussed in previous reports (see [here](#)), growing electrification needs are placing increasing pressure on an aging power system. This should drive substantial investment upgrades in power grids, as well as in power generation over the next decade. Power grids are c.40 years old and require a major upgrade to accommodate rising demand from new clients: datacenters, heat pumps, electric vehicles, air conditioning and industrial boilers. We also envisage an acceleration in renewable additions, and rising investments in back-up generation — CCGTs and BESS, to offset asset retirements and support rising consumption.

Our base case implies c.€2.2 trn of investment over 2026-35, rising to c.€3.5 trn under our hyper-adoption scenario, which assumes faster electrification and accelerated datacenter deployment – as detailed in the chapter “*Electrification: 2-4% growth in bills pa, much lower than anticipated*”.

This new level of investment would represent a c.60–150% increase versus the historical level of €1.4 trn, incurred over the past ten years (2016-25).

Exhibit 12: We estimate €2.2-3.5 trn electrification investment needs over 2026-35, a significant acceleration vs history

EU power sector 10-year cumulative capex, breakdown by driver (€ trn)



Source: Goldman Sachs Global Investment Research

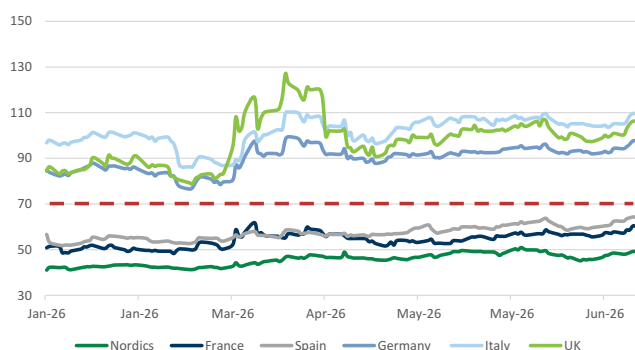
About 35–40% of the investments are non-inflationary or deflationary

We break down the €2.2–3.5 trn electrification investments into three broad categories:

Non-inflationary (c.10%). These investments largely relate to maintenance spending in power grids, to preserve these assets in the current shape.

Deflationary (c.25–30%). Here we include investments in onshore wind and solar generation assets. Evidence across Europe shows that countries with a higher share of renewables (eg Spain) tend to have power prices that are c.40–50% lower relative to power systems that are still largely reliant on gas plants (eg Italy). Continued renewable additions would have a deflationary effect on power prices, especially in Italy, Germany and the UK, as seen below.

Exhibit 13: Nordics, France and Spain show lower and more stable power prices than Germany, Italy and the UK
1-year forward power curve by country, (€/MWh)

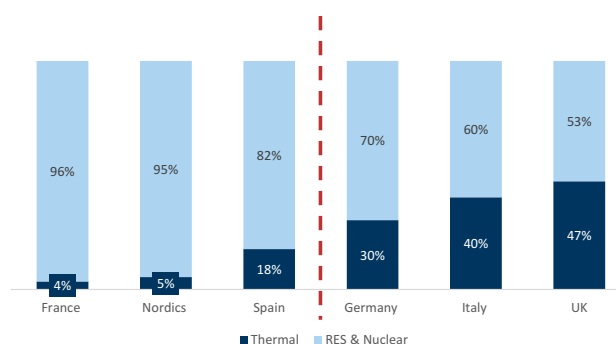


UK power price converted to € at an FX rate of 1.15

Source: Bloomberg

Exhibit 14: This difference can be explained by the generation mix, with renewables and nuclear-led systems showing lower pricing

Countries' 2025 generation output, breakdown by source (percentage)

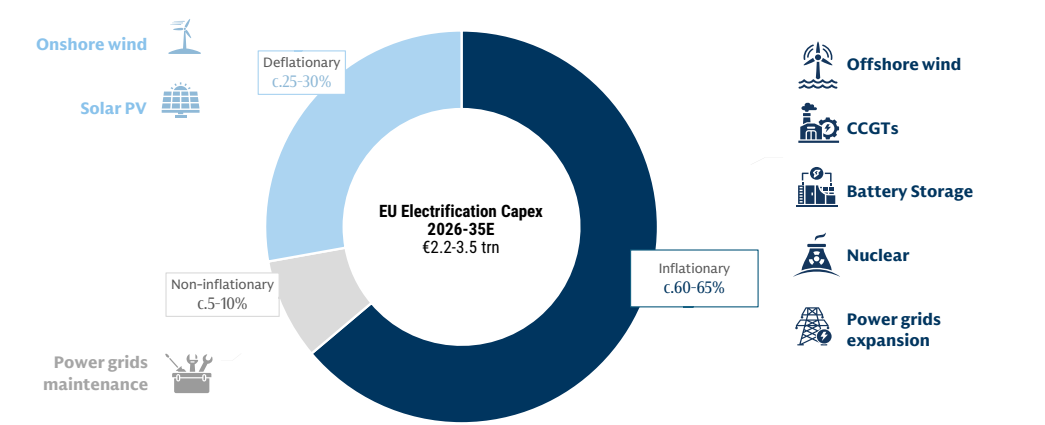


Source: Goldman Sachs Global Investment Research

Inflationary (c.60–65%). In this category, we mostly include investments in: offshore wind, back-up generation (CCGTs, battery storage and nuclear) and power grids' expansion.

As a result, 35–40% of the required investment should have either a neutral or deflationary effect on electricity bills, helping to offset the inflationary pressure from the rest of the spending.

Exhibit 15: We expect 35-40% of electrification capex to be non-inflationary or deflationary
EU power sector 10-year cumulative capex, breakdown by impact on inflation (€ trn)



Source: Goldman Sachs Global Investment Research

Power demand growth would lower unit fixed costs

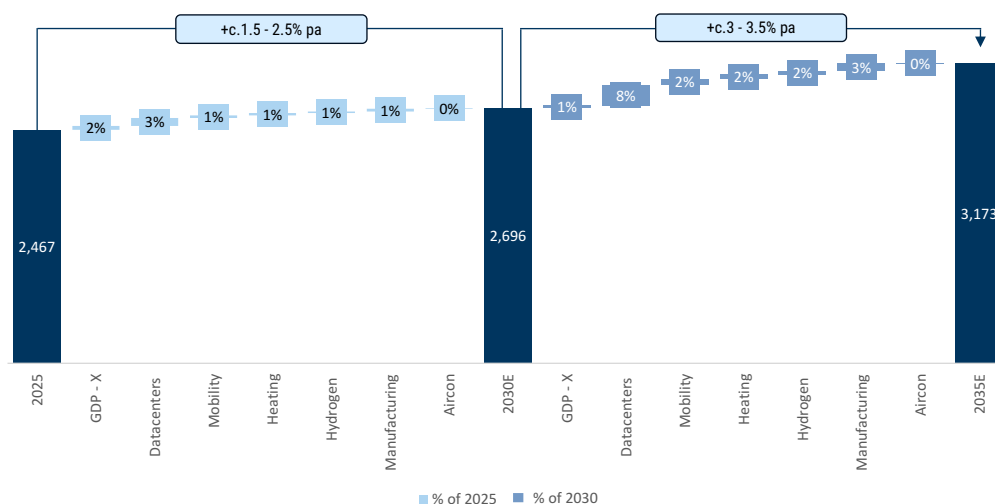
Rising power consumption from new sources – EVs, heat pumps, industrial electric boilers, aircon, datacenters – would spread fixed costs across a larger base (eg grid fees), thereby reducing unit costs. On our base case, power demand would grow by c.1.5-2.5% pa until 2030, accelerating to c.3-3.5% thereafter. Our hyper-adoption scenario (EU goals being met, higher AI Agents penetration rate) implies 4.5-5% growth from 2030.

Electrification is gathering momentum

Recent data suggest that electrification in Europe is accelerating. In 2025, the region sold more than 2 mn EVs (c.20% share of total vehicle sales) and installed >2.5 mn heat pumps ([here](#) and [here](#)). As a reference, an EV can roughly double a household's electricity consumption when used as the primary family vehicle, while switching from gas to electric heating can have a much higher effect, provided the HP also provides cooling as well as heating. Combined, 2025 EV sales and heat pump installations are equivalent to adding more than 5 mn households to Europe's power system.

Looking ahead, we expect electricity demand growth to be driven by four factors: (1) modest GDP growth, adjusted for energy efficiency, (2) accelerating electrification of transport and buildings, (3) the gradual roll-out of datacenters, and (4) rising air-conditioning penetration. Together, these factors should drive electricity demand growth in our base case of c.1.5-2.5% CAGR through 2030, accelerating to c.3-3.5% thereafter as electrification and datacenter deployment gather pace, as detailed earlier. We note that despite the supportive top-down outlook, we maintain a conservative approach in our company models, assuming electricity demand growth of c.1.5-2.0%.

Exhibit 16: We expect power consumption to grow by 1.5-2.5% pa over 2025-30E, with growth rising to 3-3.5% pa thereafter, as electrification and datacenter rollout accelerate
EU 2025-35E power demand evolution GSe base case, breakdown by driver (TWh, percentage)



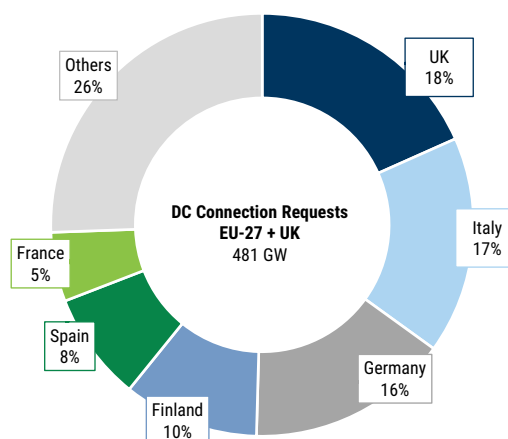
Source: Goldman Sachs Global Investment Research

Datacenters are coming to Europe; now there's evidence

Based on data collected from major European power grid operators, we estimate the EU datacenter pipeline at c.480 GW. The UK, Italy and Germany account for the largest volumes in absolute terms. We note this pipeline is equivalent to c.1.5x current European power demand, pointing to a significant long-term boost to electricity consumption, in our view.

Exhibit 17: We estimate the European DC pipeline has reached nearly 500 GW

European datacenter connection requests, breakdown by country (GW, percentage)



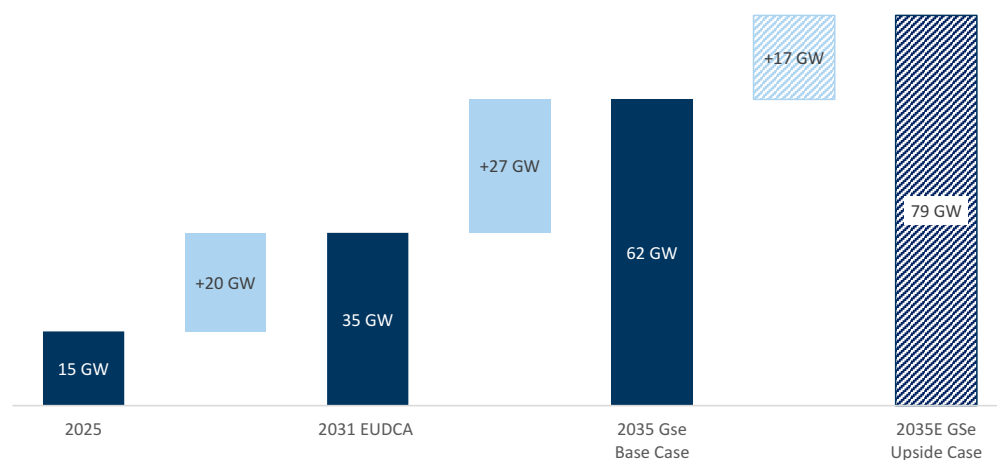
Source: Goldman Sachs Global Investment Research

This pipeline should drive a significant acceleration in datacenter capacity additions over the next decade. From c.15 GW at the end of 2025, capacity could exceed 35 GW by 2031 and reach >60 GW by 2035 in our base case, broadly consistent with Europe maintaining a five-year lag versus the US.

In an upside scenario, where Agentic AI accounts for 30-40% of queries (+10 pp vs our base case, see [here](#)), higher power intensity could increase datacenter capacity needs by c.25-30%, taking installed capacity to c.80 GW by 2035. By then, datacenters could account for c.25% of total electricity demand.

Exhibit 18: By 2035, Europe's datacenter market could reach c.80 GW capacity in our upside scenario

EU Datacenter capacity evolution potential, 2025-35 (GW)



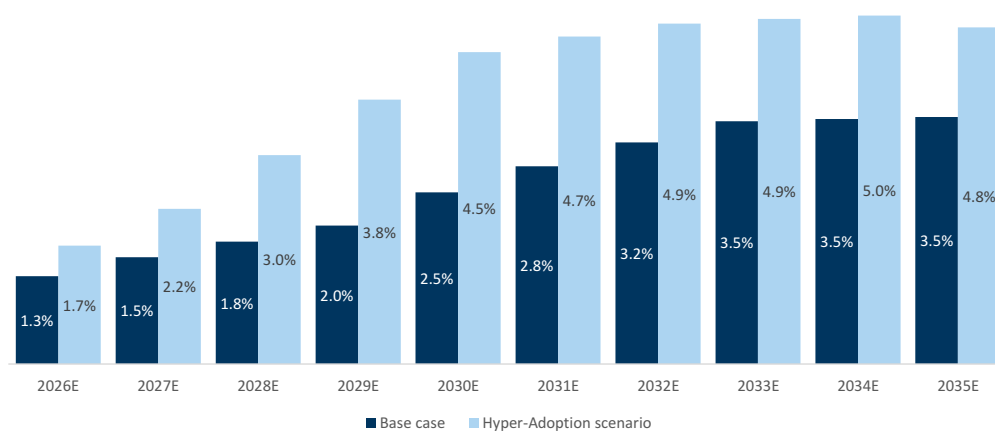
Source: Goldman Sachs Global Investment Research, European Data Center Association

Power demand at +c1.5-2% pa initially, potentially peaking at +5% pa

Power demand growth will largely depend on the pace of electrification and datacenter deployment. Our base case assumes delays to national electrification targets, while our hyper-electrification scenario assumes delivery of current 2030 goals and stronger datacenter growth. As a result, electricity demand growth could rise from c.1.5-2% initially to potentially +5% pa by 2035.

Exhibit 19: We see power demand growth accelerating from 1.5-2% pa, potentially to 4-5% pa, depending on the pace of electrification and datacenter rollout

EU power demand evolution across different GS scenarios, 2026E-35E (percentage)



Source: Goldman Sachs Global Investment Research

Households' energy spending would fall

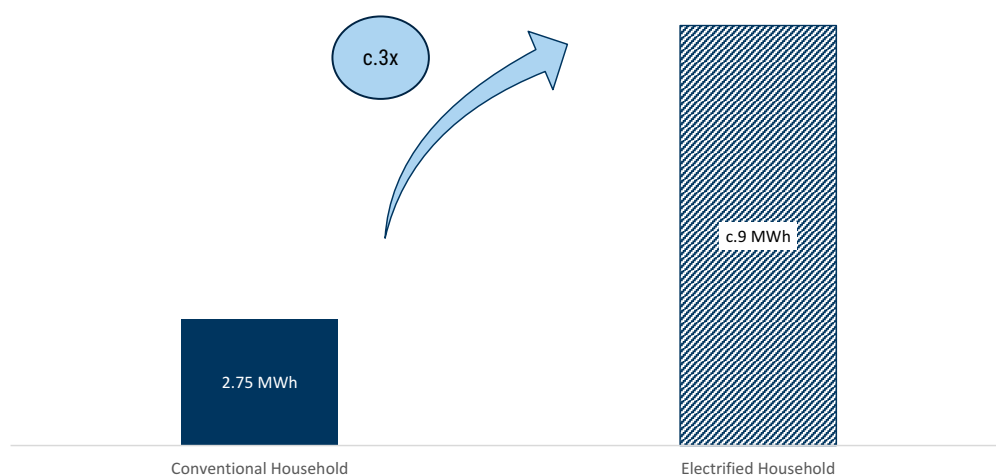
We estimate electrifying a typical household could lead to c.30% savings in fuel costs – equivalent to an annual reduction in energy costs of €1,200 per family. Given these benefits, policymakers may seek to encourage switching to help alleviate the burden of upfront costs.

Electrification would nearly triple the consumption of a typical household

At the household level, full electrification would increase annual electricity consumption from c.3 MWh to 9 MWh, we estimate. This would be a function of swapping a combustion car for an EV, and gas heating with electric heating.

Exhibit 20: Household annual electricity consumption would triple to 9 MWh in a full electrification scenario

Household annual electricity consumption, 2026–35E

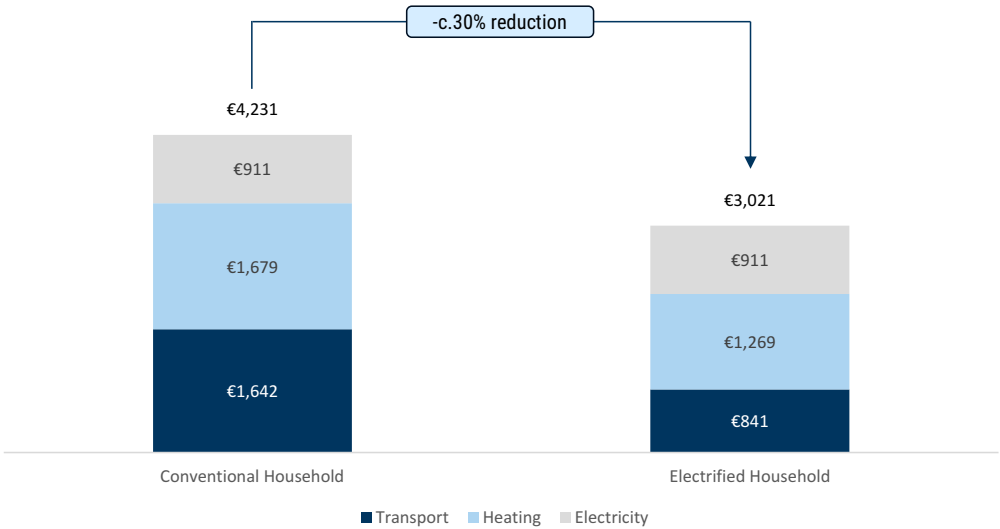


Source: Goldman Sachs Global Investment Research

Household energy costs would drop by -30%, or €1,200 per annum

Despite this near-tripling in power consumption per family, total energy spending should fall. A typical European household currently spends c.€4,200 per year on electricity, heating and fuel for mobility. This total cost could decline by c.30% to €3,000 per year – implying €1,200 annual savings per family – following full electrification, as savings from petrol and natural gas would more than offset the higher spending in electricity. This can be explained by the superior energy efficiency of EVs and HPs, which lower annual running costs for cars and heating. Upfront investment to install a heat pump and purchase an EV would, however, be required.

Exhibit 21: Despite higher electricity volumes, electrification would reduce household bills by c.30%
Household annual energy bill breakdown by source, 2026-35E (€ per year)



Source: Goldman Sachs Global Investment Research

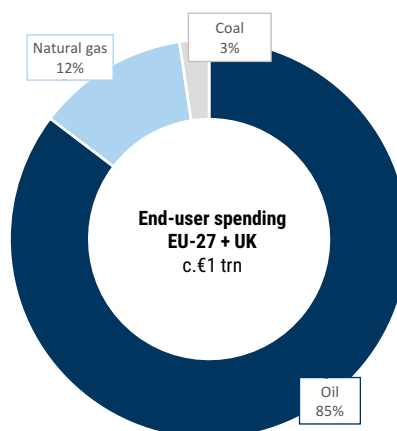
Europe spends c.€1 trn pa on fossil fuel

Each year, Europe spends around c.€1 trn on oil and derivative products (petrol, diesel, jet fuel, heavy fuel oil), natural gas and coal. The rising share of electricity in the primary energy mix would imply meaningful savings on fossil fuel spending, which we estimate at €100-150 bn per annum as of 2030-35. The EU reportedly believes that, eventually (ie by 2040-45), the reduction in fossil fuel import costs could drop by about -50%.

Europe spends €1 trn annually on fossil fuels

European end-users currently spend c.€1 trn per year on fossil fuels, with oil and refined products accounting for the largest share, largely driven by transport demand. Natural gas and coal make up most of the remainder, primarily serving power generation and industrial processes.

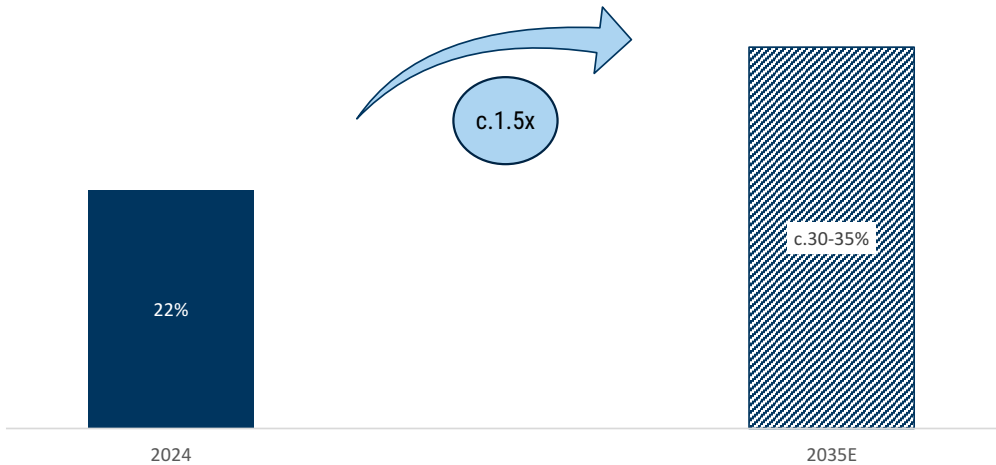
Exhibit 22: European end-users spend €1 trn in fossil fuels per year, mostly in oil
EU-27 + UK fossil fuel end-user spending in 2024, breakdown by commodity (percentage)



Source: Goldman Sachs Global Investment Research

In our view, the debate around affordability and electrification is often incomplete. Indeed, by replacing fossil fuel with electricity, Europe could ultimately reduce its fossil fuel imports by as much as 50% (see [here](#) for details). On our estimates, the share of electricity within final energy consumption could rise to 30-35% by 2035, from c.20% currently. This could eventually generate c.€100-150 bn annual savings through lower fossil fuel procurements, at constant prices.

Exhibit 23: Electrification could raise the share of electricity in final energy consumption to 30-35% by 2035, vs c.20% today
EU share of electricity in final energy consumption, 2024 vs 2035 (percentage)



Source: International Energy Agency, Goldman Sachs Global Investment Research

Utilities entering an “earnings super-cycle”

A growing electricity infrastructure deficit is likely to support higher returns across Renewables and FlexGen, while driving increased investment requirements throughout the value chain – including power grids. Over the coming ten years, we estimate electrification will require €2.2–3.5 trn of investments, a meaningful acceleration vs the past ten years. For the main electrification compounders, this should support high-single-digit to low-double-digit average earnings growth into the 2030s, on our estimates (see [here](#)). We see this supporting an “earnings super-cycle” for the industry extending well into the 2030s. As the investment cycle unfolds, earnings expectations are likely to move materially higher into 2030–31, thus supporting further multiple expansion. This may also weaken the sector’s correlation with cost of capital and commodity prices.

Exhibit 24: European Utilities’ re-rating is underpinned by higher (and better-quality) structural earnings growth

Evolution of 1-year forward P/E historically (x)



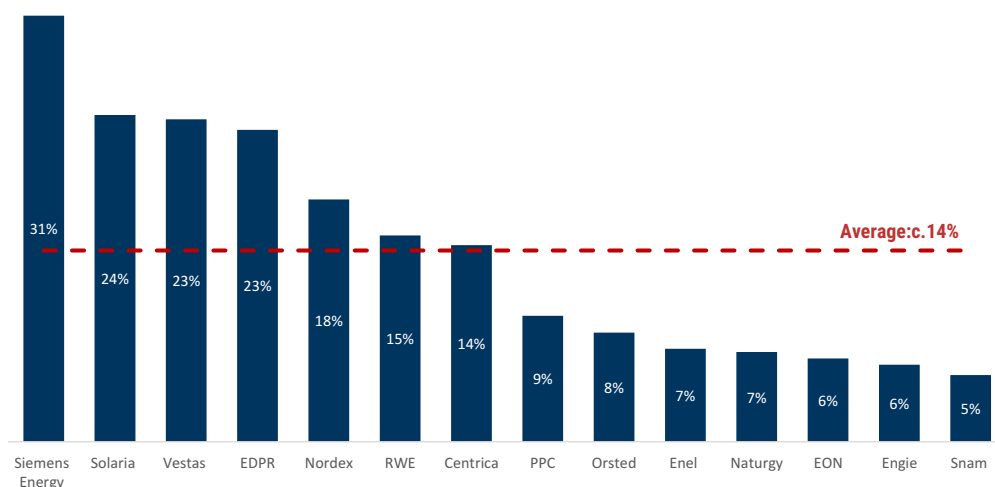
* Updated as of 13 July

Source: Bloomberg

We believe organic growth will be particularly strong for these key Buy rated stocks: we estimate an average EPS CAGR of +c.14% over 2026–30E.

Exhibit 25: We estimate an EPS CAGR of c.+14% to the end of the decade for our key Buy-rated names

2026-30E Clean EPS CAGR breakdown by company (percentage)



Source: Goldman Sachs Global Investment Research

Favor transformative electrification stories, renewables, and energy security infrastructure providers

We favor three clusters of companies: (1) *Transformative electrification stories* include companies where electrification capex is set to accelerate meaningfully (**Naturgy, Enel, Engie** and **PPC**), significantly transforming these portfolios on a 3-5 year basis; (2) *Renewable developers*, which should benefit from rising returns and organic growth opportunities (**RWE, EDPR, Solaria, Orsted**). *RES manufacturers* that should benefit from rising orders and margins (eg **Vestas** and **Nordex**); and (3) *Energy security infrastructure providers*, such as **Siemens Energy, EON** and **Snam**.

Exhibit 26: We see three company clusters as the main beneficiaries

Infographic



Source: Goldman Sachs Global Investment Research

The main beneficiaries trade on an average P/E of c.12x and an EV/EBITDA of c.7.5x by 2030E, a discount to the sector average, despite higher growth prospects.

Exhibit 27: The three clusters trade on an average P/E of c.12x by 2030E

Key valuation metrics, 2026–30E (x)

	P/E					EV/EBITDA				
	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E
Transformative Electrification Stories										
Naturgy	13.0x	13.1x	12.3x	11.7x	10.7x	8.2x	8.3x	8.1x	7.9x	7.7x
Enel	13.8x	13.1x	12.2x	11.4x	10.7x	7.5x	7.4x	7.3x	7.1x	6.9x
Engie	14.2x	14.0x	13.0x	12.4x	11.4x	9.7x	9.1x	8.8x	8.7x	8.4x
PPC	18.2x	15.3x	14.0x	13.1x	12.8x	6.6x	6.7x	6.9x	6.8x	6.7x
Average	14.8x	13.9x	12.9x	12.1x	11.4x	8.0x	7.9x	7.8x	7.6x	7.4x
Renewables										
RWE	22.3x	17.3x	16.0x	13.7x	12.8x	10.5x	9.4x	9.0x	8.3x	7.9x
EDPR (ex-gains)	50.1x	36.2x	32.8x	27.8x	22.1x	12.8x	11.9x	11.3x	10.6x	9.6x
Solaria	15.5x	11.8x	8.9x	7.5x	6.6x	10.6x	8.4x	8.4x	7.3x	6.5x
Orsted	17.0x	18.1x	13.2x	13.6x	12.6x	7.9x	7.8x	5.9x	6.2x	6.1x
Vestas	20.4x	14.8x	12.2x	10.1x	8.8x	8.8x	7.0x	5.8x	4.8x	4.0x
Nordex	20.8x	16.0x	13.3x	11.8x	10.9x	8.4x	6.4x	5.4x	4.7x	4.4x
Average	24.4x	19.0x	16.1x	14.1x	12.3x	9.9x	8.5x	7.6x	7.0x	6.4x
Energy Security Providers										
Siemens Energy	31.8x	23.7x	17.9x	14.0x	11.4x	16.8x	12.6x	9.7x	7.6x	6.3x
E.ON	17.3x	14.6x	13.7x	12.8x	12.1x	10.9x	10.2x	10.0x	9.7x	9.6x
Snam	14.1x	13.7x	12.7x	12.3x	11.7x	11.7x	11.5x	11.2x	10.9x	10.4x
Average	21.1x	17.3x	14.8x	13.0x	11.7x	13.1x	11.4x	10.3x	9.4x	8.8x
Total Average	20.7x	17.1x	14.8x	13.3x	11.9x	10.0x	9.0x	8.3x	7.7x	7.3x
Sector Average	19.2x	16.8x	15.2x	13.9x	12.9x	10.4x	10.0x	9.6x	9.2x	8.8x

*Closing price as of 13 July

Source: Goldman Sachs Global Investment Research, Bloomberg

Investment thesis, valuation & key risks

EDPR

Investment thesis. We are Buy-rated for three reasons: (1) *US renewable activities* account for c.65% of the business, and we believe the market underestimates the outlook for industry returns (project IRRs at c.10-11% on GSe and as recently estimated by the main US developers), which we expect could remain the highest in US RES history for another 3-5 years; (2) *We see major upside vs Visible Alpha Consensus estimates:* our expectations for rising returns and an acceleration in organic capex later in the decade suggest a boost in net profit by +c.90% over 2028-31E to c.€1.0-1.1 bn depending on asset rotation gains. Our net profit estimate is c.20% ahead of Visible Alpha Consensus in 2031; and (3) *AI adoption rates:* EDPR is highly geared to adoption rates in artificial intelligence — DC deals in the US or Iberia provide scope for valuation upside.

Valuation methodology. Our 12-month price target of €17.50 is based on a combination of: (1) 2/3 to our 2027E SOTP of €20.0/share. We value the core RES Business via a DCF using a 5.8% WACC and model capacity additions through to 2036, with the implied EV/EBITDA multiple equating to 15.4x; and (2) 1/3 to our valuation of existing assets of €13/share. When valuing the existing assets, we assume no growth beyond 2026. We use an EV/IC approach to derive the valuation of existing assets.

Key risks. Key downside risks to our view and price target include: (1) potential delays in the electrification process in the US/Europe; (2) lower-than-expected capacity additions; (3) lower-than-expected power prices; (4) higher sovereign interest rates; and (5) significant appreciation in foreign currencies (USD/BRL).

Enel

Investment thesis. We are Buy-rated for three reasons: (1) *Organic growth is under-appreciated:* as detailed [here](#), we believe the market is overlooking Enel's return to organic growth, supported by high single digit growth in RAB activities (c.40-45% of EBITDA), annual renewable additions of about +4 GW pa, and the ongoing SBB. This could support mid-single-digit EPS growth to 2030, we estimate; (2) *US renewables M&A could prove timely and value enhancing:* Our numbers assume c.€12.5 bn of generic re-leveraging for external growth until 2030; this would still keep ND/EBITDA just over 3x, thus implying further B/S headroom with the top end of its target range at 3.5x – we estimate more than €10 bn incrementally. As detailed by management during the Q1 call, US renewables appear in focus – with Enel about to bid (mandatory as well as non binding) on 15 GW of assets in the region; and (3) *Highly geared to a re-opening scenario:* a re-opening of the Strait of Hormuz could lower sovereign yields (due to lower inflation expectations), while easing affordability concerns (and ad-hoc measures such as energy price caps) owing to normalising power prices.

Valuation methodology. Our 12-month price target is €12.0. It is based on: (1) 1/3 on our SOTP valuation of €12.9/share. We value the RES Business via a DCF using a 6.1% WACC and model capacity additions through 2034. We value the remaining businesses, thermal, hydro, networks, and retail (except for Iberia thermal, where we use a DCF with a c.7% WACC) using an average EV/EBITDA multiple of c.7.5x on 2027E EBITDA; and (2) 2/3 on a 2027E peer-based P/E multiple of 15.2x, a discount vs. the sector of +1 standard deviation and a major discount vs. the current 2027E sector multiples. This implies a valuation of c.€11.8/share.

Key risks. Key downside risks to our thesis and price target: (1) lower commodity/power prices (especially in Iberia and Italy); (2) lower regulated network returns (especially in Italy); (3) lower retail margins in Italy and Iberia; (4) further introduction of regulatory measures that negatively impact profits; (5) higher country risk premia; and (6) sustained depreciation of LatAm.

Engie

Investment thesis. Engie trades at a FY2028E P/E of 12.9x (a c.15% discount to the sector) with an EPS CAGR of c.6% pa beyond 2028, on our estimates. We see Engie de-risking in two ways. First, asset rotation and cost-cutting are increasing the share of earnings derived from regulated activities (c.67% by FY 2028E). Second, the group's exposure to commodity price volatility is on track to decline materially by FY2027. This builds a stronger platform to grow the business beyond. Over the medium term, we believe that Engie's strategy should increasingly turn investor focus towards the underlying sum of the parts, helping to unlock embedded value within the portfolio. In parallel, the repositioning of the business towards Renewables, Batteries and Power Networks will focus the portfolio on areas where there is sizable investment opportunity, growth and value. We are Buy-rated, with a 12m price target of €32.6.

Valuation methodology. Our 12-month price target of €32.6 is based on: (1) 65% on a P/E-derived valuation of €32.6/share; and (2) 35% on an SOTP-based valuation of €32.5/share. Our P/E valuation uses a FY 2027E P/E peer average multiple of 16.8x and reflects a 5% sector-relative premium.

Key risks. Key downside risks to our view and price target include: (1) lower commodity prices; (2) weaker-than-expected nuclear output; (3) new "Loi Pacte" allowing the French government to sell down its c.24% stake in Engie; and (4) a weakening EUR against the USD and BRL.

EON

Investment thesis. Our Buy rating is supported by the following factors: (1) EON has seen a significant re-rating since the start of 2025, but it still trades on a 2027 P/E of c.14.5x, in line with the Utilities sector's 10-year mid-cycle. The secular growth in power distribution (2/3 of EON's group EBITDA) is, in our view, likely to support ongoing multiple expansion and continued positive earnings revisions, (2) Increasing capex, supported by a recent German government paper ([here](#)), leads us to total 2026-30 investments at c.€53 bn, which compares with current guidance of €48 bn, and (3) EON remains a key electrification enabler, operating nearly 40% of Germany's medium and low voltage grid, and without a major modernization of the power grid, Germany may struggle to electrify its economy and progress its energy security goals. Overall, throughout 2025-30, we estimate an underlying EPS CAGR of +8%.

Valuation methodology. Our 12-month price target of €24 is based on: (1) 1/3 on our SOTP of €26.0/share; and (2) 2/3 on our 2027 P/E valuation of €23/share. This is based on a 17.6x target P/E.

Key risks. Key downside risks to our view and price target include: (1) worse-than-expected network returns; (2) higher refinancing costs; (3) prolonged economic weakness in Germany; and (4) delays in the electrification process in Europe.

Naturgy

Investment thesis. Our Buy rating is underpinned by three core pillars: (1) *Major re-leveraging to drive strong earnings revisions*: by 2030, we estimate that Naturgy will have €10 bn in re-leveraging potential (see [here](#)). Given management's stated growth ambitions, we estimate re-leveraging of €7 bn (our base case) to €10 bn would imply 2030E EPS of €2.58–2.75, implying strong double digit upside vs current Visible Alpha Consensus expectations; (2) *Expansion into electricity implies higher multiples*: as per management statements, Naturgy seems to favour the acquisition of electricity businesses, which could deliver longer-term organic growth, once acquired. We believe larger exposure to electrification assets could prove positive for multiple expansion. Naturgy continues to trade at a meaningful sector discount; and (3) *Near-term upside to profits*: the tightness in the LNG market and upside to domestic ancillary profits suggest scope for a near-term earnings beat vs consensus. We expect Naturgy to upgrade its 2026 guidance at the first-half results in the second half of July.

Valuation methodology. Our 12-month price target is €34. It is based on: (1) a P/E valuation (2/3 weight) of €33.3, which uses a target P/E of 15.2x; and (2) an SOTP (1/3 weight) of €34.8/share.

Key risks. Key downside risks to our thesis and price target: (1) lower-than-expected commodity and power prices; (2) higher sovereign interest rates; (3) worse-than-expected macroeconomic conditions, which could have a negative impact on power prices, power demand (due to weaker activity), and credit conditions, while increasing the risks of regulatory intervention; and (4) lower-than-expected EBITDA yield on new investments funded through re-leveraging, which could dilute profitability.

Nordex

Investment thesis. Nordex is benefiting from the same tailwinds we see driving the broader onshore wind turbine industry. At the top line, improved pricing alongside order growth has supported a recovery of margins. Combined, this creates a picture of higher profits and a stronger balance sheet. We see this translating to higher returns of value over time. This could be used for dividends, buybacks, reserves and for investment into the businesses. We expect further improvement in margins and higher cash returns which, combined with an uptick in onshore US and German orders into this year, sets the stage for the company to achieve its medium-term outlook, and we expect the strong share performance to continue. We are Buy-rated, with a 12m price target of €53.2.

Valuation methodology. Our 12-month price target of €53.2 is based on a DCF valuation, for which we use a 7.9% post-tax WACC in the medium and long term.

Key risks. Key downside risks to our view and price target include: (1) lower global volumes; (2) changes in government policy; and (3) decline in commodity prices.

Orsted

Investment thesis. Our Buy rating on Orsted is based on three reasons: (1) *Europe is pivoting towards electrification and renewables.* Following a second energy crunch in less than five years, Europe may increasingly pivot its energy policy towards electrification, leading to much higher power consumption. Utilities – renewables in particular – would be at the core of this process. In a ‘hyper-electrification’ scenario (see [here](#) for details), we believe power demand growth would eventually peak at +5% pa later in the decade, while investments in power generation, mostly RES, could triple (vs. 2016–25E) to €2 trn over the coming ten years; (2) *US Administration: A softening stance on offshore wind?* The US Administration has recently decided not to appeal the injunction on the Sunrise project, thereby allowing Orsted to continue construction (completion is due in summer 2027). While we cannot rule out another government intervention, we believe it is possible that the administration might allow projects already under construction to reach completion; and (3) *A strong balance sheet by 2028E: a major opportunity for a turnaround.* We estimate that delivering its US projects would push 2028 EBITDA to c.DKK37 bn, without any meaningful capex commitment. We believe that thereafter, the balance sheet could support the development of +1.5 GW pa of new offshore wind, and +c.300 MW of onshore solar/wind. Over 2028–33, we believe this can cumulatively grow EBITDA by +40%, leading to 2033E EBITDA of c.DKK 51 bn, well ahead of Visible Alpha Consensus Data.

Valuation methodology. Our 12-month price target of DKK 190 is based on: (1) 2/3 on our SOTP valuation (Dec-2027E) of DKK 207/share, and; (2) 1/3 on our valuation of Orsted’s existing assets derived from an EV/IC approach of DKK 150/share.

Key risks. Key downside risks to our view and price target include: (1) rising pressure on IRRs; (2) further impairments in projects under development; (3) lower success rates on Offshore Wind auctions; (4) construction delays or cost overruns; (5) lower power prices; and (6) significant GBP and/or USD appreciation/depreciation.

PPC

Investment thesis. Over the coming five years, PPC is undertaking a material step-up in investment under its strategy to transform into a key leading regional electrification platform, with a target for its installed base set to double within just five years. The plan also marks PPC’s entry into the DC infrastructure through a differentiated and highly synergistic business model, giving exposure to a structurally high-growth segment. While our €26.5/sh base case valuation is built on conservative assumptions, successful execution de-risking could support convergence towards our €30/sh Full Execution scenario. At current levels, we view PPC as one of the most attractive entry points into the European electrification growth theme, with exposure to structurally undersupplied power markets with meaningful upside optionality at an undemanding valuation.

Valuation methodology. Our 12-month price target of €26.5 is based on a blend of the following methodologies: (1) SOTP-based valuation (weighting 1/3) of €29.9/share, which combines a DCF approach for the renewables business/power distribution, and market multiples for the remaining businesses; (2) PE-based valuation (weighting 2/3) of €24.6/share, based on average 2028–29E EPS and target multiple based on a sector through-the-cycle PE of 14.5x.

Key risks. Key downside risks to our investment thesis and price target include: (1) lower commodities and power prices; (2) lower-than-assumed renewable and battery additions; (3) lower-than-anticipated returns on new additions; (4) rising competition in the retail market; (5) further delays to the lignite phaseout plan; (6) regulatory intervention; (7) rising interest rates; (8) worse-than-expected macroeconomic conditions.

RWE

Investment thesis. We reiterate our Buy rating and €68.5 12-month price target, underpinned by three key drivers: (1) *Accelerating electrification*: rising energy security needs and improving economics for heat pumps, EVs, and industrial electric boilers are supporting an acceleration in Europe's electrification trend. As supply tends to adjust more slowly to a pick up in power demand, we believe Europe is entering an increasingly attractive environment for renewable returns, similar to that seen in the US. Over time, this should also support stronger RES development; (2) *Highly geared to AI and datacenters*: the roll-out of datacenters in the US and the substantial evidence that this is also translating to Europe (see [here](#)) provide tailwinds to RWE. Selling sites and providing energy could prove value-enhancing (see [here](#)). In addition, rising power consumption could drive substantial upside in FlexGen profits (c.€300-600 mn pre-tax upside by 2030-31 under our "hyper-electrification" scenario of +5% demand growth pa in Europe vs our base case, as detailed [here](#)); and (3) *Amprion strategic pivot may prove a major positive*: as detailed [here](#), RWE might be set to increase its stake in the transmission system operator (TSO) Amprion. Although such a step would denote a strategic pivot, we argue that it could prolong 'earnings growth duration', lower the cost of capital for the overall business, and potentially turn RWE into an 'Iberdrola-esque' company. If properly executed, this could create long-lasting value for shareholders.

Valuation methodology. Our 12-month price target is €68.5. It is based on: (1) 2/3 on our 2027E SOTP of €72.8/share. We value the FlexGen business at a target valuation multiple of 8x and the renewables business using a DCF based on a WACC of 6.1% and on capacity additions until 2035 with no terminal value; and (2) 1/3 on the value of existing assets, at €59.6/share. When valuing existing assets, based on an EV/IC model, we assume no future growth beyond 2026.

Key risks. Key downside risks to our thesis and price target: (1) recession and falling power demand; (2) weaker-than-expected LNG and power prices; (3) higher sovereign interest rates; (4) weak execution in the renewable pipeline; and (5) GBP/USD depreciation.

Siemens Energy

Investment thesis. We see Siemens Energy's delivery this year as providing reassurance on fundamental demand tailwinds for the business (datacenter demand, grid capex, energy security), and expect further top-line growth and margin improvement. Beyond FY 2028, our estimates imply more than 60% earnings growth through to FY2030, and a further material acceleration in cash flow. This would leave Siemens Energy trading at a c.6x 2030E EV/EBITDA, with visibility and growth expanding. The growth we expect is driven by: (1) higher OEM volumes and stronger service profitability within Gas Service; (2) strong and long-duration top-line growth in Grid Technologies; and (3) increased focus on offshore wind at Siemens Gamesa. Looking at capital returns, we see scope for more than €25bn to be returned to shareholders out to the end of the decade. We continue to see execution narrowing the valuation gap with GE Vernova (covered by Joe Richie), which trades at broadly twice the multiple of Siemens Energy at c.22x 2028E EV/EBITDA. We are Buy-rated, with a 12m price target of €212.

Valuation methodology. Our 12-month price target is €212. Our SOTP-based valuation methodology is based on a peer group CY27E EV/EBITDA multiple for Gas & Power of 22.2x. We value Siemens Gamesa using a DCF, in which we use a 7.2% post-tax WACC.

Key risks. Key downside risks to our view and price target include: (1) inability to manage the quality issues emerging in specific onshore wind turbine models; (2) increasing competition and price pressure; (3) failure to deliver cost savings; (4) a weaker economy, and (5) FX and material headwinds.

Snam

Investment thesis. We are Buy rated on Snam as we see continuing investment needs over the next decade in the core gas transport business, driven by increasing energy security aspirations in Europe. This should support a >5% normalised net income CAGR to 2030, with our 2030 forecasts sitting modestly ahead of company targets and consensus. Additional upside could come from post-2029 capex, asset rotation and incremental incentives, not captured in our base case. Yet, the stock trades at an average c.13x P/E over 2027-30 — a double-digit discount to its closest regulated peers. Given Snam's clear core focus, solid growth profile and strong balance sheet, we see this discount as unjustified.

Valuation methodology. Our 12-month price target of €7.10 is based on an equally weighted combination of: (1) An SOTP-based valuation of €7.36/share. In our SOTP, we value the core business using a DCF where we model 10 years of cash flows (until 2035), and a terminal value based on 2035 RAB. We value the associates portfolio using our target P/E for regulated pure play names of 14.5x, which we apply to 2027E earnings; (2) A P/E-based valuation of €7.05/share. Our target P/E is 15.2x, reflecting a sector multiple (in line with our sector view) to which we apply a slight discount given we see the long-term prospects for Snam as slightly lower than for power-exposed names; (3) A target DY-based valuation of €6.86/share, based on a slight premium to the target yield (sector through-the-cycle) of c.5%.

Key risks. Key downside risks to our investment thesis and price target include: (1) lower-than-anticipated capex beyond 2030; (2) lower inflation and interest rates; (3) lower-than-expected regulated incentives; (4) execution risk; (5) higher Italian bond yields, and; (6) further regulatory intervention.

Solaria

Investment thesis. We believe the market is overlooking the fact that Solaria is the highest-returning (25% ROE by 2028E) renewables developer in our coverage. This is the result, in our view, of better (i.e. higher returning) projects. We also believe that the recent focus on BESS is likely to reduce the risk of “zero pricing” on its merchant exposure. With more DC deals seemingly on the horizon, as recently stated by management, and visible projects that could meaningfully increase the installed base over the coming three years, we believe that successful execution should move Solaria’s valuation steadily higher. Our estimates assume meaningful execution delays but still imply c.9x P/E by 2028E and c.6.5x P/E by 2030E, with a reasonable balance sheet. We remain Buy-rated with a 12m price target of €26.

Valuation methodology. Our 12-month price target of €26 is based on a combination of fundamental (weighted 70%) and M&A valuations (weighted 30%). Our fundamental valuation of €24.5 is based: (1) 2/3 on our SOTP of €27.4/share. We value the core RES & Storage business via a DCF, where we model capacity additions for ten years (until 2035E) and use a 6.6% cost of capital. We value the infrastructure business based on a pure-play EV/EBITDA multiple of 8x and the datacenter business based on the existing pipeline, probability-weighted. (2) 1/3 on our valuation of existing assets of €18.4/share. When valuing existing assets, we assume no growth beyond 2026. The remaining 30% of our price target is based on our M&A-based theoretical valuation of €29.8/share, which is derived from our base-case DCF model and a WACC of 6.1%, as any potential bidder would likely be able to bring more financial solidity to the company’s balance sheet, which is reflected through a lower beta and credit spread vs the base case.

Key risks. Key downside risks to our thesis and price target include: (1) lower-than-expected commodity and power prices; (2) execution delays; (3) lower-than-expected returns on new capacity additions; (4) higher sovereign interest rates; and (5) worse-than-expected macroeconomic conditions.

Vestas

Investment thesis. In our view, Vestas is the best-positioned company in our wind manufacturer coverage, set to benefit from rising wind installation demand, with strong fundamentals (cash flow generation, growth, balance sheet) owing to its geographical diversification and scale. We expect margin expansion over FY 2026, de-risking of the offshore ramp-up and a stronger picture for volume growth through higher order intake. We forecast Vestas to deliver 90% of its medium-term target in FY 2027, largely driven by the offshore business reaching break-even. With Vestas reaching peak offshore wind capital expenditure, we see FCF expansion into FY2027. Combined with new targets for capital structure (between +1x and -1x net debt to EBITDA through-the-cycle) and shareholder returns (at least 40% payout for dividends & buybacks), we expect a step up in returns of value over the coming years. Our estimates assume €5bn in cumulative buybacks between FY2026 and FY2030. We expect further improvement in margins and higher cash returns which, combined with an uptick in onshore US and German orders into this year, sets the stage for a much stronger medium-term outlook and we expect the re-rating to continue. We are Buy-rated, with a 12m price target of Dkr236.

Valuation methodology. Our 12-month price target of Dkr236 is based on a combination of a DCF (85% weighting, Dkr213/share) and an M&A valuation (15% weighting, Dkr364/share). Our DCF-based valuation equates to a target multiple of c.10x 2030E EV/EBIT. For our DCF valuation, we use a 7.8% post-tax WACC in both the medium and long term. Our M&A valuation is derived by applying a 22x multiple to 2030E EBIT (on an ex-IRA growth basis) discounted back to 2026E. Our M&A multiple is based on the second-quartile median average M&A multiple for the Industrials sector in Western Europe over the last ten years. We apply the target multiple to 2030E earnings to capture the growth trajectory of the company.

Key risks. Key downside risks to our view and price target include: (1) decline in global volumes in onshore wind that would likely negatively impact order intake; (2) lower US installations, (3) the absence of M&A in the wind sector that could make our M&A component less meaningful; and (4) a significant decline in commodity prices that would likely make wind less profitable vs. thermal technologies.

Disclosure Appendix

Reg AC

We, Alberto Gandolfi, Mafalda Pombeiro, Ajay Patel, Dhvani Khenwar and Lawrence Lavizani, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DAFCF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Rating and pricing information

Centrica (Buy, 171p), E.ON (Buy, €18.96), EDP Renovaveis SA (Buy, €13.75), Enel SpA (Buy, €10.12), Engie (Buy, €26.88), Naturgy Energy Group (Buy, €28.04), Nordex SE (Buy, €40.98), Orsted A/S (Buy, Dkr146.90), Public Power Corp. (Buy, €23.26), RWE (Buy, €56.06), Siemens Energy (Buy, €152.12), Snam SpA (Buy, €6.17), Solaria (Buy, €18.76) and Vestas Wind Systems A/S (Buy, Dkr175.35)

The rating(s) for E.ON, EDP Renovaveis SA, Enel SpA, Engie, Naturgy Energy Group, Nordex SE, Orsted A/S, Public Power Corp., RWE, Siemens Energy, Snam SpA, Solaria and Vestas Wind Systems A/S is/are relative to the other companies in its/their coverage universe: Acciona Energia, Centrica, Drax Group, E.ON, EDP Renovaveis SA, Elia Group, Enagas, Endesa SA, Enel SpA, Energias de Portugal, Engie, Fortum OYJ, Iberdrola SA, National Grid Plc, Naturgy Energy Group, Nordex SE, Orsted A/S, Pannon Group, Public Power Corp., RWE, Redeia, SSE Plc, Severn Trent Plc, Siemens Energy, Snam SpA, Solaria, Terna, United Utilities Group, Veolia Environnement, Vestas Wind Systems A/S

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Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)

Compendium report: please see disclosures at <https://www.gs.com/research/hedge.html>. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Target price history table(s)

E.ON (EONGn.DE)

Date of report	Target price (€)	Closing price (€)
15-May-26	24.00	17.87
23-Mar-26	23.00	18.46
26-Feb-26	20.50	19.77
05-Feb-26	19.00	17.50
27-Nov-25	17.50	15.33
13-Nov-25	18.50	15.19
14-Aug-25	20.00	15.99
10-Jun-25	18.50	15.28
15-May-25	18.00	15.23
31-Mar-25	17.50	13.96
13-Jan-25	17.00	10.50
15-Sep-24	17.50	13.54
29-Apr-24	17.00	12.47
13-Mar-24	16.50	12.52
23-Jan-24	16.00	12.36
08-Jan-24	15.00	12.55
17-Oct-23	14.00	11.00
03-Aug-23	14.50	11.04

Enel SpA (ENEI.MI)

Date of report	Target price (€)	Closing price (€)
17-Mar-26	12.00	9.92
25-Feb-26	11.50	10.00
07-Jan-26	11.00	9.27
03-Sep-25	10.00	7.82
31-Jul-25	9.55	7.73
27-Jun-25	9.30	8.07
09-May-25	9.25	7.74
03-Feb-25	9.05	6.89
19-Nov-24	9.00	6.64
27-Aug-24	9.20	6.77
25-Jul-24	9.00	6.66
10-May-24	8.75	6.76
29-Apr-24	8.70	6.20
04-Apr-24	8.65	6.05
06-Feb-24	8.70	6.08
08-Jan-24	8.80	6.71
22-Nov-23	8.45	6.39
17-Oct-23	8.35	5.74
29-Sep-23	8.15	5.82
26-Jul-23	7.80	6.22

Nordex SE (NDXG.DE)

Date of report	Target price (€)	Closing price (€)
27-Apr-26	53.20	47.52
13-Apr-26	49.60	45.50
27-Feb-26	46.10	43.12
07-Jan-26	34.50	33.10
04-Nov-25	31.90	26.00
28-Jul-25	25.10	20.16
30-Apr-25	23.00	16.49
07-Mar-25	22.60	15.96
27-Jan-25	20.10	11.46
07-Nov-24	21.50	12.29
25-Jul-24	21.10	13.63
15-May-24	20.30	14.98
05-Mar-24	17.50	11.66
28-Jul-23	15.00	12.71

Naturgy Energy Group (NTGY.MC)

Date of report	Target price (€)	Closing price (€)
30-Jun-26	34.00	27.46
30-Apr-26	32.50	26.78
23-Mar-26	30.50	25.46
18-Mar-26	30.00	26.14
03-Sep-25	26.00	26.50
24-Jul-25	27.00	27.38
21-Feb-25	25.00	25.42
09-Sep-24	23.50	22.86
04-Jul-24	23.00	20.96
27-Feb-24	22.50	22.32
07-Aug-23	24.50	26.42

Orsted A/S (ORSTED.CO)

Date of report	Target price (Dkr)	Closing price (Dkr)
07-May-26	190.00	161.65
27-Apr-26	185.00	167.70
09-Feb-26	150.00	149.15
07-Jan-26	145.00	133.20
10-Nov-25	120.00	122.40
17-Sep-25	130.00	106.50
03-Sep-25	240.00	109.85
12-Aug-25	235.00	118.89
21-Jul-25	300.00	170.30
22-Apr-25	305.00	151.73
07-Feb-25	330.00	165.85
27-Jan-25	355.00	146.95
22-Jan-25	365.00	145.62
25-Nov-24	445.00	218.76

Siemens Energy (ENR1n.DE)

Date of report	Target price (€)	Closing price (€)
12-May-26	212.00	169.48
17-Feb-26	185.00	161.05
07-Jan-26	148.00	129.40
01-Dec-25	139.00	112.55
01-Oct-25	124.00	104.15
06-Aug-25	110.00	98.66
24-Jun-25	100.00	91.12
08-May-25	86.00	73.34
06-Mar-25	63.00	58.48
25-Feb-25	61.00	51.54
13-Jan-25	60.00	49.23
18-Nov-24	56.00	45.64
10-Oct-24	40.80	34.69
08-Aug-24	35.30	24.39

Orsted A/S (ORSTED.CO)

Date of report	Target price (Dkr)	Closing price (Dkr)
08-Oct-24	520.00	249.11
16-Aug-24	505.00	209.37
13-Jun-24	515.00	218.87
08-Feb-24	505.00	213.43
08-Jan-24	455.00	214.54
16-Nov-23	410.00	168.91
01-Nov-23	440.00	140.34
17-Oct-23	515.00	181.80
11-Sep-23	590.00	213.54
30-Aug-23	600.00	233.94

Siemens Energy (ENR1n.DE)

Date of report	Target price (€)	Closing price (€)
08-May-24	32.70	22.56
27-Mar-24	27.00	16.47
14-Mar-24	21.50	14.41
07-Feb-24	20.00	14.37
22-Nov-23	18.60	10.89
30-Oct-23	20.50	8.44
02-Oct-23	24.70	12.14

Vestas Wind Systems A/S (VWS.CO)

Date of report	Target price (Dkr)	Closing price (Dkr)
06-May-26	236.00	193.65
16-Feb-26	220.00	155.95
07-Jan-26	203.00	186.00
07-Nov-25	200.00	151.60
14-Aug-25	196.00	113.25
06-May-25	195.00	96.46
05-Feb-25	197.00	109.50
27-Jan-25	205.00	94.96
11-Nov-24	236.00	102.65
15-Aug-24	259.00	160.10
02-May-24	274.00	179.20
13-Feb-24	270.00	188.66
02-Oct-23	259.00	147.08

RWE (RWE.G.DE)

Date of report	Target price (€)	Closing price (€)
11-Jun-26	68.50	57.50
27-Apr-26	68.00	60.74
23-Mar-26	63.50	54.94
13-Mar-26	63.00	57.02
02-Feb-26	60.00	53.44
19-Nov-25	53.50	43.91
27-Oct-25	51.00	40.47
15-Aug-25	44.50	34.83
31-Mar-25	41.00	33.02
21-Mar-25	40.00	32.09
27-Jan-25	39.00	28.52
14-Nov-24	40.50	31.75
21-Aug-24	44.50	31.49
14-Aug-24	47.50	30.45
13-Jun-24	49.00	33.66
16-May-24	46.00	35.39
15-Mar-24	47.00	31.01
21-Feb-24	46.50	31.18
29-Jan-24	48.00	34.28
08-Jan-24	53.50	40.48
28-Nov-23	51.00	39.56
14-Nov-23	49.50	37.66
17-Oct-23	49.00	33.84
11-Sep-23	54.00	36.76
19-Jul-23	60.00	39.23

Public Power Corp. (DEHR.AT)

Date of report	Target price (€)	Closing price (€)
15-Jun-26	26.50	22.90
25-Nov-25	20.50	17.50
05-Nov-25	18.00	15.95
03-Sep-25	17.00	14.14
13-Jan-25	15.50	12.26
11-Apr-24	14.50	12.02
08-Mar-24	14.00	11.69

Snam SpA (SRG.MI)

Date of report	Target price (€)	Closing price (€)
23-Mar-26	7.10	6.25
17-Feb-26	6.90	6.35
15-Dec-25	6.40	5.57
03-Sep-25	5.85	5.10
24-Jan-25	5.30	4.41
28-Jun-24	5.00	4.13
26-Jan-24	5.10	4.51
14-Aug-23	5.20	4.60

Engie (ENGIE.PA)

Date of report	Target price (€)	Closing price (€)
08-May-26	32.60	26.99
22-Apr-26	32.00	28.47
23-Mar-26	32.10	26.34
11-Mar-26	31.30	26.95
12-Jan-26	26.50	23.81
07-Jan-26	25.80	23.69

Solaria (SLRS.MC)

Date of report	Target price (€)	Closing price (€)
27-Apr-26	26.00	25.31
23-Mar-26	25.50	22.12
26-Feb-26	24.50	21.23
09-Feb-26	22.50	18.21
18-Nov-25	22.00	17.66
06-Oct-25	15.00	14.17

Engie (ENGIE.PA)

Date of report	Target price (€)	Closing price (€)
06-Nov-25	24.20	21.35
03-Sep-25	24.00	17.57
07-Aug-25	23.50	18.84
17-Mar-25	23.40	17.18
30-Jan-25	21.50	15.67
11-Nov-24	20.60	15.35
08-Nov-24	20.50	15.19
15-Oct-24	20.60	16.09
08-Aug-24	20.50	15.14
17-May-24	20.30	15.77
04-Mar-24	20.60	14.67
30-Jan-24	19.80	14.80
07-Nov-23	21.30	15.30
28-Jul-23	21.20	14.99
18-Jul-23	20.50	14.98

Solaria (SLRS.MC)

Date of report	Target price (€)	Closing price (€)
03-Sep-25	13.00	12.98
28-Jul-25	11.00	10.82
17-Mar-25	9.30	7.57
13-Jan-25	11.50	7.67
21-Oct-24	12.50	10.48
09-Sep-24	12.00	11.62
12-Mar-24	12.50	10.21
06-Feb-24	16.00	13.07
08-Jan-24	22.00	16.76
17-Oct-23	20.00	14.18
28-Sep-23	18.50	14.10
11-Sep-23	17.50	13.72

EDP Renovaveis SA (EDPR.LS)

Date of report	Target price (€)	Closing price (€)
11-Jun-26	17.50	13.73
27-Apr-26	15.00	14.08
23-Mar-26	14.00	12.75
07-Nov-25	13.50	11.72
22-Sep-25	12.75	10.19
08-Jul-25	12.50	10.05
08-May-25	11.00	8.10
07-Apr-25	10.75	6.89
27-Feb-25	12.50	8.32
27-Jan-25	14.00	8.77
10-Jan-25	15.00	9.01
11-Nov-24	15.50	11.08
09-Sep-24	19.00	15.66
29-Jul-24	18.50	14.61
13-Jun-24	18.00	13.73
09-May-24	17.00	14.35
01-Mar-24	17.50	13.01
06-Feb-24	18.50	14.42
03-Nov-23	19.50	16.60
17-Oct-23	21.00	14.58
11-Sep-23	21.50	16.66
07-Aug-23	26.00	16.95
19-Jul-23	26.50	17.60

Price targets shown in table(s) are unadjusted for corporate actions.

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